V-Mart Retail Ltd

Q2FY23 Result Update | Retail

Optimism continues

DALAL & BROACHA
STOCK BROKING PVT. LTD.

Equity Research Desk

15th November 2022

V-Mart Retail delivered numbers in line with our expectations on topline and slightly lower on bottomline.

Outlook

- Bumper wedding season expected with 3.2mn marriages in Q3, V-mart prepared with highest ever inventory built up.
- Demand in Rural & Urban market grew but food inflation created pressure on common man. However now people are digesting inflation levels and it is cooling down too. Income level consumption still not seen.
- Festive demand saw positive signs, some key-markets i.e. Bihar and East-Up impacted due to un-timely rains. North India doing better.
- Revenue Per-Sqft still lower then Pre-Covid levels plan is to reach ~Rs700 per sqft by FY24.
- Cost efficiencies, trendier products targeting millennials, technology enhancement and improving look-&feel of stores remains the focus.
- Store target for FY23 @ 55.

Key Financial Highlights:

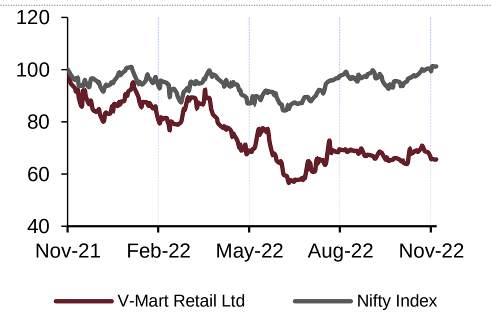
- Revenue at 5061 mn, -13.9% qoq/+49.7% yoy
- EBITDA at 536 mn, -39.59% qoq/+159.51% yoy
- Better sales, improved gross margins and lower discounts led to an EBITDA improvement of 450bps to 10.6% vs 6.1% yoy vs 3.6% (Q2FY20)
- PAT at -113 mn, -155.32% qoq/-20.02% yoy.

Rating	TP (Rs)	Up/Dn (%)
BUY	**3,303**	**17**

Market data		
Current price	**Rs**	**2,824**
Market Cap (Rs.Bn)	(Rs Bn)	56
Market Cap (US$ Mn)	(US$ Mn)	687
Face Value	Rs	10
52 Weeks High/Low	Rs	4380 / 2406
Average Daily Volume	('000)	52
BSE Code		534976
Bloomberg		VMART.IN

Source: Bloomberg

One Year Performance



Source: Bloomberg

% Shareholding	Sep-22	Jun-22
Promoters	46.10	46.14
Public	53.90	53.86
Total	**100**	**100**

Source: BSE

Financial Summary

Y/E Mar (Rs mn)	FY20	FY21E	FY22E	FY23E	FY24E
Net sales	16,620	10,755	16,662	26,305	31,697
Adjusted net profit	494	(62)	116	729	810
Free cash flow	227	469	(621)	146	1,697
EPS (Rs)	27.2	(3.1)	5.9	36.8	40.9
P/E (x)	103.8	(897.3)	479.3	76.7	69.1
P/B (x)	11.2	6.7	6.6	6.1	5.6
EV/EBITDA (x)	26.4	46.5	31.5	19.2	17.6
D/E	0.0	-	-	0.1	0.1
RoCE (%)	26.1	3.4	8.7	19.2	19.9
RoE (%)	10.8	(0.8)	1.4	7.9	8.1
Dividend yield (%)	0.1	-	-	0.0	0.1

Source: Company, Dalal & Broacha Research

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Conference Call Key Takeaways

DEMAND

- Rural & Urban market grew but food inflation created pressure on common man. But now people are digesting inflation levels and it is cooling down too. Income level consumption still not seen.
- Festive demand saw positive signs. Some key-markets i.e. Bihar and East-Up impacted due to un-timely rains. North India doing better
- Recovery in Tier1 and Mall stores better than Tier2, Tier3 and Tier4.
- Revenue Per-Sqft still lower then Pre-Covid levels plan is to reach ~ Rs 700 per sqft by FY24.
- Cost efficiencies, trendier products targeting millennials, technology enhancement and improving look-&feel of stores remains the focus
- Store target for FY23 @ 55

Gross Margins

- Optically higher at 36.3% with higher throughput in South should stabilize at 34% in long-run.
- Prices have corrected from peak-levels by ~30%
- Average Selling Price: Overall up +27% was aided by unlimited, V-Mart ASP +20% & some price correction to come in from Q3FY23.

COMPETITION: has increased

- Large players have expanded in V-Mart related markets, but results mixed in mass-segment

UNLIMITED integration

- Per Sqft Sales better than V-Mart
- Gross margins higher as have to cover up for higher Opex expenses
- Rentals for newly opened stores are similar to India average v/s legacy stores which are higher
- LTL @ ~ 15-16% || ASP higher by ~10-12% || Bill size slightly lower || focus is on millennials

ONLINE business

- Myntra and Flipkart grew by 100%

OTHER FINANCIALS

- **EOSS:** V-Mart is at a good inventory position with reduced provisions
- **Inventory** at highest levels @ Rs 9.17bn in-line with company's strategy to be prepared for upcoming festive. Per store average at Rs 23mn v/s Rs 24mn pre-covid. Also trying new initiatives in South. Inventory days optically higher @ 133 days should normalize @ 100 days by year end.
- **CAPEX:** Rs 510mn spent in Q2FY23. Rs 730mn YTD (including new store + warehouse). Full year guidance @ Rs 1800mn. Phase-1 of warehouse to start from Feb-March 2023
- **Cash-Flow:** Over –drawn by ~ 1bn on gross basis and net of cash and investments @ ~Rs600mn in-line with what was planned due to higher up-stocking if inventory for festive period

Limeroad Acquisition:

- Capex (additional) spent in the range of Rs 360-370mn
- Rs 200 to 300mn would be spent on working capital
- Not a very high cash burn business as it has good customers with high retention rate
- Will spend not more than 15-20% of V-marts current level EBIDTA
- Footfalls: +42% YoY but still -29% over Pre-Covid

Quarterly Performance Analysis

Exhibit 1

Particulars (Rs Mns)	Q2FY23	Q2FY22	YoY (%)	Q1FY23	QoQ (%)
Revenue	5,061.59	3,379.74	49.76%	5,878.84	-13.90%
Other Income	26.55	40.65	-34.71%	40.87	-35.04%
Total	**5,088.14**	**3,420.39**		**5,919.71**	
Total RM Cost	**3,224.18**	**2,342.27**	37.65%	**3,686.36**	-12.54%
Gross Profit	**1,837.41**	**1,037.47**	77.11%	**2,192.49**	-16.20%
Employee Cost	559.93	416.04	34.59%	552.11	1.42%
Other Expenses	741.60	414.94	78.73%	753.24	-1.55%
Total	**4,525.71**	**3,173.24**		**4,991.71**	
EBIDTA	**535.88**	**206.50**	159.51%	**887.13**	-39.59%
Depreciation	440.54	272.45	61.69%	402.42	9.47%
EBIT	**121.89**	**(25.30)**	-581.69%	**525.58**	-76.81%
Interest Cost	278.71	169.22	64.71%	247.21	12.74%
PBT and exceptional item	**(156.82)**	**(194.52)**		**278.37**	
exceptional item	-	-		-	
PBT	**(156.82)**	**(194.52)**	-19.38%	**278.37**	-156.34%
Taxes	(43.69)	(53.07)		73.85	
Reported PAT	**(113.14)**	**(141.45)**	-20.02%	**204.52**	-155.32%
EPS	**(5.73)**	**(7.05)**		10.35	
as a % to sales					
RM	63.7%	69.3%		62.7%	
GPM	**36.3%**	**30.7%**		**37.3%**	
Employee Costs	11.1%	12.3%		9.4%	
Other expenses	14.7%	12.3%		12.8%	
OPM	**10.6%**	**6.1%**	**4.48%**	**15.1%**	**-4.50%**
Tax rate (on PBT)	**27.9%**	**27.3%**		**26.5%**	

Source: Dalal & Broacha Research, Company

Exhibit 2

Particulars	Q2FY21	Q3FY21	Q4FY21	Q1FY22	Q2FY22	Q3FY22	Q4FY22	Q1FY23	Q2FY23
Stores	264	274	279	282	368	374	380	391	405
Net Additions	-2	10	5	3	86	6	6	11	14
Retail Space YTD in lacs Sq feet	22.0	23.0	23.00	23.20	31.99	33.00	33.00	34.00	36.00
Increase	(0.2)	1.00	0.00	0.20					
Sales Per Sq Ft Per Mth In Rs as per Presentation	299	895	569	533	347.00	860.00	380.00	626.00	516.00
Sales Per Sq Ft Per Mth * 3 (for Qtr)	897	2685	1707	1599	1041	2580	1140	1878	1548
Average Sq Ft per Store	8333	8394	8244	8227	8692	8824	8684	8696	8889
SSS Growth YTD									
- Value %	-71%	-50%	-40%	119%	82%	36%	23%	137%	57%
- Volume %	-69%	-52%	-41%	103%	75%	39%	21%	124%	49%
Segment Contribution									
-Fashion (%)	91	92	91	91	91	93	91	91	88
-Kirana (%)	9	8	9	9	9	7	9	9	12
Total	100	100	100	100	100	100	100	100	100
Sales Mix									
Apparels (%)	79.3	79.3	77.9	80	79.4	81.6	80.1	80.7	77.4
Non Apparels (%)	12.1	14	12.7	10.7	11.2	11.1	10.8	9.9	10.3
Kirana (%)	8.6	6.7	9.4	9.3	9.4	7.3	9.1	9.4	12.3
Total	100	100	100	100	100	100	100	100	100

Source: Dalal & Broacha Research, Company

Exhibit 3

Particulars	Q2FY21	Q3FY21	Q4FY21	Q1FY22	Q2FY22	Q3FY22	Q4FY22	Q1FY23	Q2FY23
FootFall (lacs)	35	83	72	31	66	111	80	102	95
Conversion Rate	60%	62%	61.10%	70.70%	64.60%	60.60%	63.00%	62.20%	61.80%
Shrinkage	NA	NA	1.30%	4.90%	NA	NA	-0.60%	0.05%	-0.20%
Average Selling Price (Rs)									
Total (Rs)	183	262	202	193	197	292	244	233	223
Total Vmart							220		
Total Unlimited							523		
Apparels (Rs.)	254	446	327	295	302	503	411	370	384
Apparels Vmart							384		
Apparels Unlimited							568		
Transaction size (Rs)	844	968	851	848	838	1096	981	994	961
Vmart							898		
Unlimited							1776		
Store Count YTD	**264**	**274**	**279**	**282**	**368**	**374**	**380**	**391**	**405**
Tier 1	59	63	65	65	100	100	104	105	110
Tier 2	35	37	37	38	56	55	54	54	53
Tier 3	138	140	142	143	157	162	166	172	179
Tier 4	32	34	35	36	55	57	56	60	63
Store allocation	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**
Tier 1 %	22%	23%	23%	23%	27%	27%	27%	27%	27%
Tier 2 %	13%	14%	13%	13%	15%	15%	14%	14%	13%
Tier 3 %	52%	51%	51%	51%	43%	43%	44%	44%	44%
Tier 4 %	12%	12%	13%	13%	15%	15%	15%	15%	16%

Source: Dalal & Broacha Research, Company

Valuation

The awaited bumper wedding season (i.e 3.2mn marriages between Nov 4 and Dec 14) is expected to push demand thus benefiting the overall apparel industry. Food inflation cooling off will aid the discretionary spending power of V-mart's customers especially in Tier3 and Tier4 towns. The management too is confident of a bumper Q3 quarter evident from the highest ever inventory built up at Rs ~9.2bn.

Valuation: We have reworked our numbers and for FY23e and FY24e on EV/EBITDA basis, the stock trades at 19.2x and 17.6x respectively We value the company at 20x EV/EBIDTA on FY24 numbers to arrive at a target price of Rs. 3,303, i.e 17% upside.

We change our recommendation from ACCUMULATE to BUY.

Financials

V-Mart Retail Ltd

P&L (Rs mn)	FY20	FY21	FY22	FY23E	FY24E
Net Sales	16,620.2	10,754.6	16,661.8	26,304.8	31,697.3
Cost of sales	(14,482.7)	(9,442.5)	(14,618.5)	(22,706.4)	(27,696.1)
Operating Profit	**2,137.5**	**1,312.1**	**2,043.3**	**3,598.4**	**4,001.2**
Depreciation	(939.2)	(1,029.7)	(1,307.0)	(1,612.9)	(1,788.8)
PBIT	1,198.3	282.4	736.3	1,985.5	2,212.4
Other income	45.5	210.4	139.6	171.1	139.2
Interest	(547.8)	(589.5)	(771.9)	(1,181.7)	(1,269.2)
Profit before tax	695.9	(96.6)	104.0	975.0	1,082.5
Exceptional and Extra Ordin	-	-	-	-	-
PBT (Post Extra Ordinary)	695.9	(96.6)	104.0	975.0	1,082.5
Provision for tax	(201.9)	34.6	12.4	(245.7)	(272.5)
Reported PAT	**494.1**	**(62.0)**	**116.4**	**729.3**	**810.0**
MI	-	-	-	-	-
Adjusted PAT	**494.1**	**(62.0)**	**116.4**	**729.3**	**810.0**

Cash Flow St. (Rs. mn)	FY20	FY21	FY22	FY23E	FY24E
Net Profit	494.1	(62.0)	116.4	729.3	810.0
Add: Dep. & Amort.	939.2	1,029.7	1,307.0	1,612.9	1,788.8
Cash profits	**1,433.3**	**967.7**	**1,423.4**	**2,342.2**	**2,598.8**
(Inc)/Dec in					
-Sundry debtors	-	-	-	-	-
-Inventories	(1,489.4)	496.1	(2,399.2)	(2,686.6)	(1,920.6)
-Loans/advances	(22.6)	(9.8)	123.8	3.4	-
'-Current Liab and Provisions	254.6	(145.0)	1,141.5	1,900.0	1,073.8
'- Other Non Current Assets	(8.1)	(794.7)	0.1	(559.4)	(121.1)
Change in working capital	(1,265.4)	(453.3)	(1,133.7)	(1,342.6)	(967.9)
CF from Oper. activities	**167.9**	**514.4**	**289.7**	**999.6**	**1,631.0**
CF from Inv. activities	**(245.0)**	**(3,911.5)**	**(207.8)**	**(1,492.8)**	**(1,997.1)**
CF from Fin. activities	**(29.1)**	**3,621.9**	**(6.0)**	**1,069.3**	**(40.5)**
Cash generated/(utilised)	**(106.2)**	**224.8**	**75.8**	**576.1**	**(406.6)**
Cash at start of the year	156.1	49.9	274.7	350.5	926.5
Cash at end of the year	49.9	274.7	350.5	926.5	519.9

Balance Sheet	FY20	FY21	FY22	FY23E	FY24E
Equity capital	181.5	197.0	197.5	198.0	198.0
Reserves	4,407.8	8,055.2	8,298.7	8,991.5	9,761.0
Net worth	**4,589.3**	**8,252.2**	**8,496.2**	**9,189.5**	**9,959.0**
Non Current Liabilites	4,439.6	5,381.3	8,538.0	12,198.0	13,159.1
Current Liabilites	3,207.6	2,631.9	3,960.6	7,288.1	8,429.5
CAPITAL EMPLOYED	**12,236.5**	**16,265.4**	**20,994.8**	**28,675.6**	**31,547.5**
Non Current Assets	7,060.6	7,446.2	11,597.7	16,410.4	17,647.3
Fixed Assets	6,695.1	6,987.4	11,173.6	15,952.4	17,189.3
Non Current Investments	33.2	36.2	37.8	-	-
Deferred Tax Asset	**160.1**	**252.7**	**386.3**	**458.0**	**458.0**
Long Term Loans and Advan	118.9	128.3	-	-	-
Other NON Current Assets	53.4	41.6	413.8	584.0	600.8
Current Assets	**5,175.9**	**8,819.2**	8,983.4	11,681.2	13,299.5
Current investments	45.8	3,153.6	1,210.6	260.0	260.0
Inventories	4,779.2	4,283.1	6,682.2	9,368.8	11,289.4
Trade Receivables	-	-	-	-	-
Cash and Bank Balances	**49.9**	**274.7**	**350.5**	**926.5**	**519.9**
Short Term Loans and Advan	0.3	0.7	5.2	1.8	1.8
Other Current Assets	300.7	1,107.2	734.9	1,124.0	1,228.3
CAPITAL DEPLOYED	**12,236.5**	**16,265.4**	**20,994.8**	**28,675.6**	**31,547.5**
ROA	4.04	(0.38)	0.55	2.54	2.57

Ratios	FY20	FY21	FY22	FY23E	FY24E
OPM	12.9	12.2	12.3	13.7	12.6
NPM	3.0	(0.6)	0.7	2.8	2.5
Tax rate	(29.0)	(35.8)	11.9	(25.2)	(25.2)
Growth Ratios (%)					
Net Sales	15.9	(35.3)	54.9	57.9	20.5
Operating Profit	60.9	(38.6)	55.7	76.1	11.2
PBIT	13.9	(76.4)	160.7	169.6	11.4
PAT	(24.8)	(112.6)	(287.7)	526.5	11.1
Per Share (Rs.)					
Net Earnings (EPS)	27.2	(3.1)	5.9	36.8	40.9
Cash Earnings (CPS)	79.0	49.1	72.1	118.3	131.3
Dividend	1.7	-	-	0.8	2.0
Book Value	252.8	418.8	430.2	464.1	503.0
Free Cash Flow	(4.2)	(172.4)	4.1	(24.9)	(18.5)
Valuation Ratios					
P/E(x)	**103.8**	**(897.3)**	**479.3**	**76.7**	**69.1**
P/B(x)	11.2	6.7	6.6	6.1	5.6
EV/EBIDTA(x)	26.4	46.5	31.5	19.2	17.6
Div. Yield(%)	0.1	-	-	0.0	0.1
FCF Yield(%)	**(0.2)**	**(6.1)**	**0.1**	**(0.9)**	**(0.7)**
Return Ratios (%)					
ROE	10.8	(0.8)	1.4	7.9	8.1
ROCE	26.1	3.4	8.7	19.2	19.9

Source: Dalal & Broacha Research, Company

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